



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2950: tourism improvement areas; municipalities; counties

WILMETH FLOOR AMENDMENT

1. Amends the petition signature requirements to form a tourism improvement area.
2. Deems a person who signed the petition as having joined the improvement area.
3. Provides for allowing a person who did not sign the petition to join the improvement area.
4. Includes notification requirements for a destination marketing organization and the Treasurer.
5. Makes clarifying changes.

ADDITIONAL COW
WILMETH FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2950
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.
[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 48, Arizona Revised Statutes, is amended by adding
3 chapter 38, to read:

4 CHAPTER 38

5 TOURISM IMPROVEMENT AREAS

6 ARTICLE 1. GENERAL PROVISIONS

7 48-6501. Definitions

8 IN THIS CHAPTER, UNLESS THE CONTEXT OTHERWISE REQUIRES:

9 1. "BOARD" MEANS THE BOARD OF SUPERVISORS OF THE COUNTY.

10 2. "DESTINATION MARKETING ORGANIZATION" MEANS A NONPROFIT
11 ORGANIZATION OR GOVERNMENTAL UNIT THAT IS DESIGNATED BY THE GOVERNING BODY
12 AS BEING RESPONSIBLE FOR THE TOURISM PROMOTION AND MARKETING OF THE
13 MUNICIPALITY OR COUNTY.

14 3. "GOVERNING BODY" MEANS THE GOVERNING BODY OR BOARD THAT BY LAW
15 IS CONSTITUTED AS THE LEGISLATIVE DEPARTMENT OF THE MUNICIPALITY OR
16 COUNTY.

17 4. "LODGING BUSINESS":

18 (a) MEANS ANY BUSINESS PROVIDING TRANSIENT LODGING AS PRESCRIBED BY
19 SECTION 42-5070.

20 (b) INCLUDES A PROPERTY THAT BEGINS PROVIDING TRANSIENT LODGING AS
21 PRESCRIBED BY SECTION 42-5070 AFTER THE ESTABLISHMENT OF A TOURISM
22 IMPROVEMENT AREA THAT INCLUDES THE PROPERTY.

23 5. "LODGING BUSINESS ASSESSMENT" MEANS A LEVY ON ROOM RENTALS AT A
24 BUSINESS THAT IS CLASSIFIED UNDER SECTION 42-5070.

25 6. "LODGING BUSINESS OWNER" MEANS A PERSON RECOGNIZED AS THE OWNER
26 OF A LODGING BUSINESS THAT IS SUBJECT TO A LODGING BUSINESS ASSESSMENT.

27 7. "MUNICIPALITY" MEANS A CITY OR TOWN.

1 8. "OWNERS' BOARD" MEANS THE DESIGNATED INDIVIDUALS THAT GOVERN THE
2 ACTIVITIES OF THE TOURISM IMPROVEMENT AREA AND MAY BE THE BOARD OF
3 DIRECTORS OF THE DESTINATION MARKETING ORGANIZATION OR A COMMITTEE OF THE
4 DESTINATION MARKETING ORGANIZATION AS LONG AS THE OWNERS' BOARD IS
5 COMPOSED OF AT LEAST A MAJORITY OF LODGING BUSINESS OWNERS [THAT ARE
6 SUBJECT TO THE ASSESSMENT].

7 9. "TOURISM IMPROVEMENT AREA" MEANS AN IMPROVEMENT AREA OF
8 CONTIGUOUS OR NONCONTIGUOUS BOUNDARIES.

9 10. "TOURISM IMPROVEMENT AREA ACTIVITY":

10 (a) MEANS ANY ADVERTISING, PROMOTION OR BUSINESS RECRUITMENT THAT
11 IS DIRECTLY RELATED TO LODGING BUSINESSES IN A TOURISM IMPROVEMENT AREA.

12 (b) DOES NOT INCLUDE ACTIVITIES THAT ARE DIRECTLY OR INDIRECTLY
13 RELATED TO CONSTRUCTION AND MAINTENANCE OF PHYSICAL INFRASTRUCTURE.

14 11. "TOURISM IMPROVEMENT AREA PLAN" MEANS A PROPOSAL FOR A TOURISM
15 IMPROVEMENT AREA THAT CONTAINS INFORMATION REQUIRED PURSUANT TO SECTION
16 48-6503.

17 48-6502. Petition; requirements

18 A. ON PRESENTATION OF A PETITION PURSUANT TO THIS SECTION, THE
19 GOVERNING BODY MAY APPROVE THE FORMATION OF A TOURISM IMPROVEMENT AREA.
20 THE PETITION FOR THE FORMATION OF THE TOURISM IMPROVEMENT AREA MUST
21 INCLUDE AND IDENTIFY THE FOLLOWING:

22 1. THE SIGNATURE OF LODGING BUSINESS OWNERS OF TWO OR MORE LODGING
23 BUSINESSES ~~[WHO REPRESENT AT LEAST SIXTY-SEVEN PERCENT OF THE TOTAL~~
24 ~~LODGING BUSINESS ROOMS AVAILABLE]~~ WITHIN A PROPOSED TOURISM IMPROVEMENT
25 AREA.

26 2. THE GEOGRAPHIC BOUNDARIES OF THE PROPOSED TOURISM IMPROVEMENT
27 AREA.

28 3. THE TYPES OR CLASSES OF LODGING BUSINESSES THAT WILL BE SUBJECT
29 TO THE PROPOSED LODGING BUSINESS ASSESSMENT.

30 4. THE PROPOSED LODGING BUSINESS ASSESSMENT RATE FOR EACH TYPE OR
31 CLASS OF LODGING BUSINESS THAT WILL BE SUBJECT TO THE LODGING BUSINESS
32 ASSESSMENT.

33 5. INFORMATION SPECIFYING WHERE THE COMPLETE TOURISM IMPROVEMENT
34 AREA PLAN MAY BE OBTAINED AND THAT THE COMPLETE TOURISM IMPROVEMENT AREA
35 PLAN IS AVAILABLE ON REQUEST.

36 B. A LODGING BUSINESS OWNER MAY APPOINT AN AUTHORIZED AGENT TO ACT
37 AS THE LODGING BUSINESS OWNER'S REPRESENTATIVE FOR THE PURPOSES OF THIS
38 CHAPTER. THE LODGING BUSINESS OWNER'S REPRESENTATIVE IS CONSIDERED THE
39 LODGING BUSINESS OWNER FOR THE PURPOSES OF ANY SIGNATURE REQUIRED FOR A
40 PETITION PRESCRIBED BY THIS SECTION, SERVING ON A BOARD OR COMMITTEE OR
41 FOR ANY OTHER PURPOSE AUTHORIZED BY THE LODGING BUSINESS OWNER. THE
42 GOVERNING BODY HAS NO OBLIGATION TO OBTAIN OTHER INFORMATION AS TO THE
43 OWNERSHIP OF THE LODGING BUSINESS, AND ITS DETERMINATION OF OWNERSHIP
44 SHALL BE FINAL AND CONCLUSIVE FOR THE PURPOSES OF THIS CHAPTER.

45 48-6503. Tourism improvement area plan; information

46 A. A TOURISM IMPROVEMENT AREA PLAN MUST BE PREPARED BEFORE THE
47 PUBLIC HEARING ON THE PROPOSED TOURISM IMPROVEMENT AREA HELD PURSUANT TO

1 SECTION 48-6504. THE TOURISM IMPROVEMENT AREA PLAN MUST INCLUDE ALL OF
2 THE FOLLOWING:

3 1. A MAP THAT IDENTIFIES THE BOUNDARIES OF THE PROPOSED TOURISM
4 IMPROVEMENT AREA IN SUFFICIENT DETAIL TO ALLOW A LODGING BUSINESS OWNER TO
5 REASONABLY DETERMINE WHETHER THE LODGING BUSINESS IS LOCATED WITHIN THE
6 PROPOSED TOURISM IMPROVEMENT AREA BOUNDARIES.

7 2. THE NAME OF THE PROPOSED TOURISM IMPROVEMENT AREA.

8 3. THE PLANNED TOURISM IMPROVEMENT AREA ACTIVITIES OF THE PROPOSED
9 TOURISM IMPROVEMENT AREA AND AN ESTIMATE OF THE ANNUAL COST OF THE PLANNED
10 TOURISM IMPROVEMENT AREA ACTIVITIES.

11 4. A DEFINITION DESCRIBING THE TYPE OR CLASS OF LODGING BUSINESSES
12 TO BE INCLUDED IN THE PROPOSED TOURISM IMPROVEMENT AREA AND THE LODGING
13 BUSINESSES THAT WILL BE SUBJECT TO THE PROPOSED LODGING BUSINESS
14 ASSESSMENT. THE DEFINITION MAY INCLUDE THE SIZE OF THE LODGING PROPERTY
15 OR NUMBER OF ROOMS AT THE LODGING PROPERTY.

16 5. THE PROPOSED SOURCE OF FINANCING, INCLUDING THE PROPOSED METHOD
17 AND BASIS OF LEVYING THE LODGING BUSINESS ASSESSMENT IN SUFFICIENT DETAIL
18 TO ALLOW EACH LODGING BUSINESS OWNER TO ESTIMATE THE AMOUNT OF THE LODGING
19 BUSINESS ASSESSMENT TO BE LEVIED AGAINST THE LODGING BUSINESS.

20 6. THE ESTIMATED TOTAL PROPOSED LODGING BUSINESS ASSESSMENTS TO BE
21 SPENT FOR TOURISM IMPROVEMENT AREA ACTIVITIES DURING THE FIRST YEAR OF
22 OPERATION OF THE PROPOSED TOURISM IMPROVEMENT AREA AND THE FORMULA USED TO
23 DETERMINE EACH LODGING BUSINESS OWNER'S LODGING BUSINESS ASSESSMENT, WHICH
24 SHALL BE BASED ON BENEFIT.

25 7. THE TERM OF THE PROPOSED TOURISM IMPROVEMENT AREA.

26 B. LODGING BUSINESS ASSESSMENTS THAT ARE LEVIED TO CONDUCT TOURISM
27 IMPROVEMENT AREA ACTIVITIES MUST PROVIDE BENEFITS TO LODGING BUSINESSES
28 AND ASSOCIATED INDUSTRIES THAT ARE LOCATED WITHIN THE TOURISM IMPROVEMENT
29 AREA AND THAT ARE SUBJECT TO THE LODGING BUSINESS ASSESSMENT. LODGING
30 BUSINESS ASSESSMENTS MAY VARY BY TYPES OR CLASSES OF LODGING BUSINESSES AS
31 DESCRIBED IN THE TOURISM IMPROVEMENT AREA PLAN, INCLUDING THE SIZE OF THE
32 LODGING PROPERTY OR NUMBER OF ROOMS AT THE LODGING PROPERTY. A LODGING
33 BUSINESS ASSESSMENT MAY BE LEVIED BASED ON ANY OF THE FOLLOWING:

34 1. FIXED RATE PER LODGING ROOM RENTAL PER DAY.

35 2. PERCENTAGE OF RECEIPTS ON LODGING ROOM RENTALS.

36 C. THE VALIDITY OF A LODGING BUSINESS ASSESSMENT LEVIED BY A FORMED
37 TOURISM IMPROVEMENT AREA MAY NOT BE CONTESTED IN AN ACTION OR PROCEEDING
38 UNLESS THE ACTION OR PROCEEDING IS COMMENCED WITHIN THIRTY DAYS AFTER THE
39 RESOLUTION LEVYING THE LODGING BUSINESS ASSESSMENT IS ADOPTED. ANY APPEAL
40 FROM A FINAL JUDGMENT IN AN ACTION OR PROCEEDING CONTESTING THE VALIDITY
41 OF A LODGING BUSINESS ASSESSMENT MUST BE PERFECTED WITHIN THIRTY DAYS
42 AFTER THE ENTRY OF JUDGMENT.

43 D. TOURISM IMPROVEMENT AREA ACTIVITIES MUST BE DESIGNED TO PROMOTE
44 TOURISM AND LODGING TO ENHANCE THE ECONOMIC DEVELOPMENT CLIMATE IN THE
45 TOURISM IMPROVEMENT AREA IN ACCORDANCE WITH ALL APPLICABLE LAWS,
46 REGULATIONS AND REQUIREMENTS OF THIS STATE AND THE UNITED STATES.

1 48-6504. Formation; public hearing
2 A. ON RECEIPT OF A VALID PETITION, THE GOVERNING BODY MAY ADOPT A
3 RESOLUTION OF INTENTION TO CONSIDER THE FORMATION OF A TOURISM IMPROVEMENT
4 AREA, IF ADOPTED BY THE GOVERNING BODY. THE RESOLUTION OF INTENTION MUST
5 STATE ALL OF THE FOLLOWING:
6 1. THE DATE, TIME AND PLACE OF A PUBLIC HEARING TO CONSIDER THE
7 PETITION FOR FORMATION OF A TOURISM IMPROVEMENT AREA.
8 2. THE PROPOSED TOURISM IMPROVEMENT AREA ACTIVITIES.
9 3. AN ESTIMATED AMOUNT OF FUNDING NECESSARY TO IMPLEMENT THE
10 TOURISM IMPROVEMENT AREA PLAN.
11 4. THE BOUNDARIES OF THE PROPOSED TOURISM IMPROVEMENT AREA.
12 5. THE AMOUNT OF THE PROPOSED LODGING BUSINESS ASSESSMENT.
13 B. IF A RESOLUTION CONSISTENT WITH SUBSECTION A OF THIS SECTION IS
14 ADOPTED BY THE GOVERNING BODY, THE NOTICE OF THE PUBLIC HEARING SHALL BE
15 SENT BY MAIL TO EACH LODGING BUSINESS OWNER SUBJECT TO ASSESSMENT IN THE
16 PROPOSED TOURISM IMPROVEMENT AREA AND PUBLISHED IN A NEWSPAPER OF GENERAL
17 CIRCULATION IN THE MUNICIPALITY OR COUNTY OR ON THE MUNICIPALITY'S OR
18 COUNTY'S PUBLIC WEBSITE AT LEAST THIRTY DAYS BEFORE THE DATE OF THE
19 HEARING. THE NOTICE MUST ALSO CONTAIN A DESCRIPTION OF THE PROPOSED
20 TOURISM IMPROVEMENT AREA AS SET FORTH IN THE RESOLUTION OF INTENTION.
21 C. THE GOVERNING BODY SHALL CONDUCT THE PUBLIC HEARING AT LEAST
22 THIRTY DAYS AFTER MAILING THE NOTICE TO ALL LODGING BUSINESS OWNERS
23 IDENTIFIED PURSUANT TO SUBSECTION B OF THIS SECTION.
24 D. THE GOVERNING BODY SHALL CONSIDER PUBLIC TESTIMONY REGARDING THE
25 PROPOSED TOURISM IMPROVEMENT AREA. ANY LODGING BUSINESS PROPOSED TO BE
26 SUBJECTED TO A LODGING BUSINESS ASSESSMENT MAY SUBMIT A WRITTEN OBJECTION
27 TO THE GOVERNING BODY AT ANY TIME BEFORE THE CONCLUSION OF THE PUBLIC
28 HEARING. IF WRITTEN OBJECTIONS ARE RECEIVED FROM LODGING BUSINESS OWNERS
29 THAT REPRESENT FIFTY PERCENT OR MORE OF THE TOTAL ROOMS ~~[WITHIN THE~~
30 ~~PROPOSED TOURISM IMPROVEMENT AREA]~~ [THAT ARE SUBJECT TO THE ASSESSMENT],
31 THE GOVERNING BODY SHALL END THE HEARING AND THE MUNICIPALITY OR COUNTY
32 MAY NOT HOLD ANY FURTHER PROCEEDINGS ON THE FORMATION OF THE PROPOSED
33 TOURISM IMPROVEMENT AREA FOR A PERIOD OF ONE YEAR AFTER THE DATE OF THE
34 HEARING.
35 E. THE GOVERNING BODY OF A MUNICIPALITY MAY NOT FORM A PROPOSED
36 TOURISM IMPROVEMENT AREA WITHIN THE UNINCORPORATED TERRITORY OF A COUNTY
37 WITHOUT THE CONSENT OF THE BOARD OF SUPERVISORS OF THAT COUNTY. THE
38 GOVERNING BODY OF A MUNICIPALITY MAY NOT FORM A PROPOSED TOURISM
39 IMPROVEMENT AREA WITHIN THE TERRITORIAL JURISDICTION OF ANOTHER
40 MUNICIPALITY WITHOUT THE CONSENT OF THE GOVERNING BODY OF THE OTHER
41 MUNICIPALITY. THE BOARD OF SUPERVISORS MAY NOT FORM A PROPOSED TOURISM
42 IMPROVEMENT AREA WITHIN THE TERRITORIAL JURISDICTION OF ANOTHER COUNTY
43 WITHOUT CONSENT OF THE BOARD OF SUPERVISORS OF THE OTHER COUNTY.
44 F. THE INITIAL TERM OF A FORMED TOURISM IMPROVEMENT AREA MAY NOT
45 EXCEED TEN YEARS AND SUBSEQUENT RENEWALS OF THE TOURISM IMPROVEMENT AREA
46 MAY NOT EXCEED TEN YEARS PER RENEWAL.

1 G. ANY LODGING BUSINESS OF THE TYPES OR CLASSES THAT ARE SUBJECT TO
2 THE LODGING BUSINESS ASSESSMENT THAT COMMENCES OPERATIONS DURING THE
3 TOURISM IMPROVEMENT AREA'S TERM IS SUBJECT TO A LODGING BUSINESS
4 ASSESSMENT, EXCEPT AS PRESCRIBED BY SECTION 48-6507, SUBSECTION ~~[B-]~~ [C].

5 48-6505. Management; annual report

6 A. EACH TOURISM IMPROVEMENT AREA SHALL BE GOVERNED BY AN OWNERS'
7 BOARD COMPOSED OF A MAJORITY OF THE [ASSESSED] LODGING BUSINESS OWNERS
8 LOCATED WITHIN THE TOURISM IMPROVEMENT AREA OR THEIR AUTHORIZED
9 REPRESENTATIVES. A REPRESENTATIVE OF THE MUNICIPALITY OR COUNTY MAY HAVE
10 A NONVOTING, EX OFFICIO SEAT ON THE OWNER'S BOARD.

11 B. THE GOVERNING BODY SHALL CONTRACT WITH ITS DESTINATION MARKETING
12 ORGANIZATION TO MANAGE AND IMPLEMENT THE TOURISM IMPROVEMENT AREA
13 ACTIVITIES SPECIFIED IN THE TOURISM IMPROVEMENT AREA PLAN.

14 C. THE DESTINATION MARKETING ORGANIZATION MANAGING THE TOURISM
15 IMPROVEMENT AREA HAS ALL OF THE POWERS POSSESSED BY A NONPROFIT
16 CORPORATION ORGANIZED PURSUANT TO THE LAWS OF THIS STATE, INCLUDING THE
17 AUTHORITY TO ACCEPT DONATIONS OR GIFTS OF MONIES AND PROPERTY, TO APPLY
18 FOR AND RECEIVE GRANTS FROM PUBLIC AND PRIVATE SOURCES AND TO CARRY OVER
19 MONIES FROM ONE FISCAL YEAR TO THE NEXT.

20 D. ON GOVERNING BODY APPROVAL OF THE TOURISM IMPROVEMENT AREA AND
21 ANNUALLY THEREAFTER, THE OWNERS' BOARD SHALL SUBMIT TO THE DEPARTMENT OF
22 REVENUE THE APPROVED TOURISM IMPROVEMENT AREA MAP WITH DETAILS ON THE
23 ASSESSED PROPERTIES IN A FORM AND MANNER REQUIRED BY THE DEPARTMENT OF
24 REVENUE.

25 E. THE DESTINATION MARKETING ORGANIZATION THAT MANAGES THE TOURISM
26 IMPROVEMENT AREA SHALL FILE AN ANNUAL REPORT WITH THE GOVERNING BODY
27 WITHIN ONE HUNDRED TWENTY DAYS AFTER THE END OF THE TOURISM IMPROVEMENT
28 AREA'S FISCAL YEAR. THE REQUIREMENT FOR FILING AN ANNUAL REPORT SHALL
29 BEGIN IN THE FIRST FULL FISCAL YEAR AFTER TOURISM IMPROVEMENT AREA
30 FORMATION.

31 F. THE ANNUAL REPORT REQUIRED PURSUANT TO SUBSECTION E OF THIS
32 SECTION MUST INCLUDE ALL OF THE FOLLOWING:

33 1. THE TOURISM IMPROVEMENT AREA ACTIVITIES PROVIDED FOR THE
34 PREVIOUS FISCAL YEAR.

35 2. THE AMOUNT OF TOURISM IMPROVEMENT AREA MONIES SPENT ON TOURISM
36 IMPROVEMENT AREA ACTIVITIES FOR THE PREVIOUS FISCAL YEAR.

37 3. THE ESTIMATED AMOUNT OF ANY SURPLUS OR DEFICIT MONIES TO BE
38 CARRIED OVER FROM THE PREVIOUS FISCAL YEAR.

39 48-6506. Tourism improvement area plan; amendments

40 A. ON THE WRITTEN REQUEST OF THE DESTINATION MARKETING ORGANIZATION
41 MANAGING THE TOURISM IMPROVEMENT AREA, THE GOVERNING BODY MAY AMEND THE
42 TOURISM IMPROVEMENT AREA PLAN PURSUANT TO THIS SECTION.

43 B. IF THE TOURISM IMPROVEMENT AREA PLAN AMENDMENT INCLUDES A NEW OR
44 INCREASED LODGING BUSINESS ASSESSMENT, THE GOVERNING BODY SHALL DO ALL OF
45 THE FOLLOWING:

1 1. HOLD A PUBLIC HEARING ON THE AMENDMENT AT LEAST THIRTY DAYS
2 AFTER MAILING THE NOTICE TO THE ASSESSED LODGING BUSINESS OWNERS THAT IS
3 REQUIRED PURSUANT TO PARAGRAPH 2 OF THIS SUBSECTION.

4 2. PROVIDE NOTICE OF THIS MEETING BY MAIL TO EACH LODGING BUSINESS
5 OWNER THAT IS SUBJECT TO LODGING BUSINESS ASSESSMENT IN THE TOURISM
6 IMPROVEMENT AREA AND PUBLISH THE NOTICE IN A NEWSPAPER OF GENERAL
7 CIRCULATION IN THE MUNICIPALITY OR COUNTY OR ON THE MUNICIPALITY'S OR
8 COUNTY'S PUBLIC WEBSITE AT LEAST THIRTY DAYS BEFORE THE DATE OF THE
9 HEARING.

10 3. PROVIDE NOTICE OF ANY APPROVED TOURISM IMPROVEMENT AREA PLAN
11 AMENDMENT TO THE DEPARTMENT OF REVENUE IN THE MANNER REQUIRED BY THE
12 DEPARTMENT OF REVENUE.

13 C. IF THE AMENDMENT DOES NOT INCLUDE A NEW OR INCREASED ASSESSMENT,
14 THE GOVERNING BODY IS NOT REQUIRED TO HOLD A PUBLIC HEARING ON THE
15 AMENDMENT.

16 D. AMENDMENTS TO A TOURISM IMPROVEMENT AREA PLAN MAY NOT INCLUDE
17 ANY CHANGES TO THE TOURISM IMPROVEMENT AREA'S BOUNDARIES.

18 48-6507. Lodging business assessments; withdrawal;
19 rescission; collection; disbursement

20 A. EXCEPT AS PRESCRIBED BY SUBSECTION ~~[B.]~~ [C] OF THIS SECTION, THE
21 DESTINATION MARKETING ORGANIZATION MANAGING THE TOURISM IMPROVEMENT AREA
22 SHALL ESTABLISH LODGING BUSINESS ASSESSMENTS ON THE LODGING BUSINESSES
23 LOCATED WITHIN THE TOURISM IMPROVEMENT AREA. THE DESTINATION MARKETING
24 ORGANIZATION MANAGING THE TOURISM IMPROVEMENT AREA MAY LEVY A LODGING
25 BUSINESS ASSESSMENT OF NOT MORE THAN \$5 PER NIGHT OR FIVE PERCENT OF THE
26 RECEIPTS FROM ROOM RENTALS BY THE LODGING BUSINESS IN THE TOURISM
27 IMPROVEMENT AREA.

28 [B. A LODGING BUSINESS OWNER WHO SIGNED THE PETITION FOR THE
29 FORMATION OF THE TOURISM IMPROVEMENT AREA PURSUANT TO SECTION 48-6502 IS
30 DEEMED TO HAVE JOINED THE TOURISM IMPROVEMENT AREA ON ITS ESTABLISHMENT.
31 AN OWNER OF A LODGING BUSINESS LOCATED WITHIN THE TOURISM IMPROVEMENT AREA
32 WHO DID NOT SIGN THE PETITION FOR THE FORMATION OF THE TOURISM IMPROVEMENT
33 AREA MAY JOIN THE TOURISM IMPROVEMENT AREA WITHIN SIXTY DAYS AFTER THE
34 ESTABLISHMENT OF THE TOURISM IMPROVEMENT AREA BY FILING A NOTICE OF
35 JOINDER.]

36 ~~[B.]~~ [C.] ANY LODGING BUSINESS OWNER MAY [JOIN OR] WITHDRAW FROM
37 THE TOURISM IMPROVEMENT AREA DURING THE SAME ANNUAL SIXTY-DAY PERIOD
38 PROVIDED FOR DISSOLUTION IN SECTION 48-6508, SUBSECTION B BY FILING A
39 WRITTEN NOTICE OF [JOINDER OR] WITHDRAWAL WITH THE OWNERS' BOARD. A
40 LODGING BUSINESS OWNER THAT FILES A NOTICE OF WITHDRAWAL IS NOT SUBJECT TO
41 THE LODGING BUSINESS ASSESSMENT AND IS NO LONGER ELIGIBLE FOR MEMBERSHIP
42 ON THE OWNERS' BOARD. A LODGING BUSINESS OWNER THAT HAS WITHDRAWN FROM
43 THE TOURISM IMPROVEMENT AREA MAY RESCIND ITS WITHDRAWAL BY FILING A
44 WRITTEN NOTICE OF RESCISSION WITH THE OWNERS' BOARD AND, ON DOING SO, IS
45 SUBJECT TO THE LODGING BUSINESS ASSESSMENT BEGINNING ON THE FIRST DAY OF
46 THE TOURISM IMPROVEMENT AREA FISCAL YEAR AFTER THE NOTICE OF RESCISSION IS
47 FILED.

1 ~~[C.]~~ [D.] IF A LODGING BUSINESS OWNER [JOINS OR] WITHDRAWS FROM
2 THE TOURISM IMPROVEMENT AREA DURING THE SIXTY-DAY PERIOD PRESCRIBED BY
3 SUBSECTION ~~[B.]~~ [C.] OF THIS SECTION, THE OWNERS' BOARD SHALL NOTIFY THE
4 DEPARTMENT OF REVENUE AND THE GOVERNING BODY.

5 [E. THE DESTINATION MARKETING ORGANIZATION FOR THE TOURISM
6 IMPROVEMENT AREA SHALL NOTIFY THE LODGING BUSINESS OWNERS THAT ARE WITHIN
7 THE TOURISM IMPROVEMENT AREA THAT ANY LODGING BUSINESS OWNER MAY JOIN OR
8 WITHDRAW FROM THE TOURISM IMPROVEMENT AREA DURING THE ANNUAL SIXTY-DAY
9 PERIOD PRESCRIBED BY SUBSECTION C OF THIS SECTION. THE DESTINATION
10 MARKETING ORGANIZATION SHALL PROVIDE THE NOTICE ANNUALLY TO THE LODGING
11 BUSINESS OWNERS SIX MONTHS BEFORE THE BEGINNING OF THE SIXTY-DAY PERIOD.]

12 ~~[D.]~~ [E.] THE LODGING BUSINESS ASSESSMENT SHALL BE LEVIED
13 BEGINNING ON THE FIRST DAY OF THE FIRST MONTH NINETY DAYS AFTER THE
14 OWNERS' BOARD IS ESTABLISHED. [THE ASSESSMENT SHALL BE PAID TO THE
15 DEPARTMENT OF REVENUE.] THE DEPARTMENT OF REVENUE SHALL REPORT TO THE
16 STATE TREASURER THE AMOUNT OF LODGING BUSINESS ASSESSMENTS COLLECTED
17 PURSUANT TO THIS SECTION.

18 ~~[E.]~~ [G.] THE STATE TREASURER SHALL TRANSMIT TO THE TREASURER OR
19 OFFICER EXERCISING THE FUNCTIONS OF TREASURER OF THE MUNICIPALITY OR
20 COUNTY WHERE THE TOURISM IMPROVEMENT AREA IS LOCATED ON A MONTHLY BASIS
21 THE AMOUNT COLLECTED FROM LODGING BUSINESS ASSESSMENTS WITHIN THE TOURISM
22 IMPROVEMENT AREA.

23 [H. THE TREASURER OR THE OFFICER EXERCISING THE FUNCTIONS OF
24 TREASURER OF THE MUNICIPALITY OR COUNTY IN WHICH THE TOURISM IMPROVEMENT
25 AREA IS LOCATED SHALL TRANSMIT ON A MONTHLY BASIS THE AMOUNT RECEIVED FROM
26 THE DEPARTMENT OF REVENUE TO THE DESTINATION MARKETING ORGANIZATION
27 MANAGING THE TOURISM IMPROVEMENT AREA.]

28 ~~[F.]~~ [I.] THE DESTINATION MARKETING ORGANIZATION MANAGING THE
29 TOURISM IMPROVEMENT AREA AND THE GOVERNING BODY THAT IS PARTICIPATING IN
30 THE TOURISM IMPROVEMENT AREA SHALL REPORT TO THE DEPARTMENT OF REVENUE THE
31 AMOUNT OF THE LODGING BUSINESS ASSESSMENT AND SUPPLY THE DEPARTMENT OF
32 REVENUE AND THE STATE TREASURER WITH ALL REQUESTED INFORMATION NECESSARY
33 TO ADMINISTER THIS SECTION.

34 ~~[G.]~~ [J.] THE DEPARTMENT OF REVENUE AND THE GOVERNING BODY THAT IS
35 PARTICIPATING IN THE TOURISM IMPROVEMENT AREA SHALL ENTER INTO AN
36 INTERGOVERNMENTAL AGREEMENT THAT PROVIDES FOR THE DEPARTMENT OF REVENUE TO
37 RECEIVE MONIES FOR THE COSTS OF ADMINISTERING THE LODGING BUSINESS
38 ASSESSMENT FROM THE PROCEEDS OF THAT LODGING BUSINESS ASSESSMENT.

39 ~~[H.]~~ [K.] UNLESS THE CONTEXT OTHERWISE REQUIRES, TITLE 42, CHAPTER
40 5, ARTICLE 1 GOVERNS THE ADMINISTRATION OF THE LODGING BUSINESS
41 ASSESSMENT, EXCEPT THAT:

42 1. A SEPARATE LICENSE IS NOT REQUIRED FOR THE LODGING BUSINESS
43 ASSESSMENT IMPOSED BY THIS SECTION.

44 2. A SEPARATE BOND IS NOT REQUIRED FOR EMPLOYEES OF THE DEPARTMENT
45 OF REVENUE FOR ADMINISTERING THIS SECTION.

1 48-6508. Renewal; dissolution; remaining revenue

2 A. AN ESTABLISHED TOURISM IMPROVEMENT AREA MAY BE RENEWED FOR A NEW
3 TERM. A RENEWED TOURISM IMPROVEMENT AREA MAY ENGAGE IN DIFFERENT TOURISM
4 IMPROVEMENT AREA ACTIVITIES THAN THE ORIGINAL TOURISM IMPROVEMENT AREA.
5 ON RENEWAL OF A TOURISM IMPROVEMENT AREA, THE GOVERNING BODY SHALL
6 TRANSFER ANY REMAINING MONIES HELD BY THE TOURISM IMPROVEMENT AREA TO THE
7 RENEWED TOURISM IMPROVEMENT AREA.

8 B. DURING THE TERM OF THE TOURISM IMPROVEMENT AREA, THERE SHALL BE
9 A SIXTY-DAY PERIOD EACH YEAR IN WHICH LODGING BUSINESS OWNERS THAT HAVE
10 PAID LODGING BUSINESS ASSESSMENTS MAY REQUEST DISSOLUTION OF THE TOURISM
11 IMPROVEMENT AREA. THE INITIAL SIXTY-DAY PERIOD SHALL BEGIN ONE YEAR AFTER
12 THE DATE OF ESTABLISHMENT OF THE TOURISM IMPROVEMENT AREA. ON RECEIPT OF
13 A PETITION SUBMITTED BY THE LODGING BUSINESS OWNERS THAT REPRESENT FIFTY
14 PERCENT OR MORE OF THE TOTAL [NUMBER OF ASSESSED] ROOMS WITHIN THE TOURISM
15 IMPROVEMENT AREA, THE GOVERNING BODY SHALL PASS A RESOLUTION OF INTENTION
16 TO DISSOLVE THE TOURISM IMPROVEMENT AREA. THE GOVERNING BODY SHALL HOLD A
17 HEARING ON THE PETITION TO DISSOLVE THE TOURISM IMPROVEMENT AREA AND SHALL
18 PROVIDE NOTICE OF THE HEARING PURSUANT TO THE NOTICE REQUIREMENTS OF
19 SECTION 48-6504.

20 C. THE GOVERNING BODY MAY ADOPT A RESOLUTION TO DISSOLVE A TOURISM
21 IMPROVEMENT AREA. THE GOVERNING BODY MAY ONLY ADOPT A RESOLUTION TO
22 DISSOLVE A TOURISM IMPROVEMENT AREA WHEN THE TOURISM IMPROVEMENT AREA HAS
23 SATISFIED ALL DEBTS OF THE TOURISM IMPROVEMENT AREA. THE GOVERNING BODY
24 MAY ALSO DISSOLVE A TOURISM IMPROVEMENT AREA IF THE GOVERNING BODY FINDS
25 THERE HAS BEEN MISAPPROPRIATION OF MONIES, MALFEASANCE OR A VIOLATION OF
26 LAW IN CONNECTION WITH THE MANAGEMENT OF THE TOURISM IMPROVEMENT AREA.

27 D. THE RESOLUTION ADOPTED BY THE GOVERNING BODY PURSUANT TO
28 SUBSECTION B OR C OF THIS SECTION SHALL STATE THE REASON FOR THE
29 DISSOLUTION AND THE TIME AND PLACE OF THE PUBLIC HEARING AND SHALL CONTAIN
30 A PROPOSAL TO DISPOSE OF ANY ASSETS ACQUIRED WITH THE MONIES OF THE
31 LODGING BUSINESS ASSESSMENTS LEVIED WITHIN THE TOURISM IMPROVEMENT AREA.
32 THE NOTICE OF THE HEARING ON DISSOLUTION REQUIRED BY THIS SECTION SHALL BE
33 GIVEN BY MAIL TO EACH LODGING BUSINESS OWNER THAT IS SUBJECT TO A LODGING
34 BUSINESS ASSESSMENT IN THE TOURISM IMPROVEMENT AREA AND PUBLISHED IN A
35 NEWSPAPER OF GENERAL CIRCULATION IN THE MUNICIPALITY OR COUNTY OR ON THE
36 MUNICIPALITY'S OR COUNTY'S PUBLIC WEBSITE AT LEAST THIRTY DAYS BEFORE THE
37 DATE OF THE HEARING. THE GOVERNING BODY SHALL CONDUCT THE PUBLIC HEARING
38 AT LEAST THIRTY DAYS AFTER MAILING THE NOTICE OF HEARING. THE PUBLIC
39 HEARING SHALL BE HELD NOT MORE THAN SIXTY DAYS AFTER THE ADOPTION OF THE
40 RESOLUTION OF INTENTION TO DISSOLVE THE TOURISM IMPROVEMENT AREA.

41 E. ON THE DISSOLUTION OR EXPIRATION WITHOUT RENEWAL OF A TOURISM
42 IMPROVEMENT AREA, ANY MONIES THAT REMAIN AFTER ALL DEBTS OF THE TOURISM
43 IMPROVEMENT AREA ARE PAID SHALL BE SPENT IN ACCORDANCE WITH THE TOURISM
44 IMPROVEMENT AREA PLAN OR SHALL BE REFUNDED TO THE LODGING BUSINESS OWNERS
45 OF THE LODGING BUSINESSES THAT ARE LOCATED AND OPERATING WITHIN THE
46 TOURISM IMPROVEMENT AREA AT THE TIME OF DISSOLUTION OF THE TOURISM
47 IMPROVEMENT AREA. REMAINING MONIES THAT ARE TO BE REFUNDED TO LODGING

1 BUSINESS OWNERS SHALL BE REFUNDED USING THE SAME METHOD AND BASIS THAT WAS
2 USED BY THE DESTINATION MARKETING ORGANIZATION TO ESTABLISH THE LODGING
3 BUSINESS ASSESSMENTS LEVIED IN THE FISCAL YEAR IN WHICH THE TOURISM
4 IMPROVEMENT AREA IS DISSOLVED OR EXPIRES.

5 Sec. 2. Legislative findings

6 The legislature finds that:

7 1. Many tourism and lodging businesses located and operating in
8 municipalities and counties in this state struggle to compete with
9 destinations in other states in attracting overnight visitation.

10 2. Tourism improvement areas will help municipalities within this
11 state to grow leisure, convention and event visitor demand by promoting
12 tourism, business activities, economic growth and employment within this
13 state.

14 3. Because additional services and activities will provide direct
15 benefits to the lodging businesses [that choose to participate] within a
16 tourism improvement area, the most equitable method of financing tourism
17 improvement area activities is to levy a lodging business assessment on
18 lodging businesses that will benefit from a tourism improvement area.

19 4. Tourism and lodging demand generated by a tourism improvement
20 area will increase revenue for this state.

21 5. Tourism lodging business owners should be encouraged to create a
22 tourism improvement area to enhance the local tourism business climate.

23 6. Tourism improvement area activities are intended to supplement
24 and not replace existing governmental activities and services.

25 Enroll and engross to conform

26 Amend title to conform

JUSTIN WILMETH

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